

Reversal (R), continuation (C) occurrence. I struggled with this row and the next one. If the pattern is a bottom, then price enters the rounding bottom from the top by definition. Because price exits the pattern in an upward breakout, then all rounding bottoms act as reversals.

However, I see chart after chart where price rises into the left rim of a rounding turn. So I present a breakdown of how often price rises or drops into the rounding bottom (meaning it acts as a reversal or continuation pattern). Most rounding bottoms act as continuation patterns.

Reversal/continuation performance. In bull markets, continuations perform slightly better than reversals. In bear markets, the numbers are further apart, with the performance edge going to reversals.

Average rise. In both markets, the average rise is exceptional even though the bear market number is just 37%. That still puts it in first place for performance among all other bear market, up breakout patterns (all 20 of them).

Table 55.2 General Statistics

Description	Bull Market	Bear Market
Number found	990	216
Reversal (R), continuation (C) occurrence	33% R, 67% C	41% R, 59% C
Reversal, continuation performance	47% R, 48% C	40% R, 35% C
Average rise	48%	37%
Standard & Poor's 500 change	13%	−3%
Days to ultimate high	278	111
How many change trend?	66%	60%

Standard & Poor's 500 change. If a rising tide (general market) lifts all boats (stocks), then it helps bull market results. In bear markets, a market drop of 3% holds down the average rise for the chart pattern.

Days to ultimate high. Notice how it takes more than twice as long to reach the ultimate high in bull markets as in bear ones. If you do the math, you will find that the rise in bear markets is steeper than in bull markets.